Return and Refund Policy 2026

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Purpose

This policy defines how TraceStock AI demo operations handle customer returns, refunds, exchanges, restocking decisions, and return-related inventory updates. The policy is designed for retail, online, and business-to-business sales channels where product condition, purchase date, product category, inventory availability, and fraud risk must be evaluated consistently.

The goal is to protect customer trust while keeping inventory records accurate. Every return decision should be grounded in the original sale record, the product category, the return reason, the received item condition, and the applicable exception rules in this document. Customer service teams should not promise refunds, replacements, store credit, or manual inventory changes without checking the rules below.

Standard Return Window

Most products can be returned within 30 calendar days from the original sale date. The return window begins on the date shown in the sales record, not the delivery date, unless the delivery date is explicitly recorded in an approved order management system. If the customer has proof that delivery occurred more than five days after the sale date, customer service may use the delivery date as the return-window starting point.

Online orders and retail store purchases follow the same 30-day standard window. Business-to-business orders follow the contract terms when a contract exists. If no specific contract terms are attached to the customer account, the standard 30-day window applies.

Products returned after the standard window should be declined unless an exception applies. Approved exceptions include documented delivery delays, confirmed product defects, warranty-backed failures, incorrect item fulfillment, and customer service goodwill decisions approved by a team lead.

Return Authorization

Customer service should create a return authorization before instructing the customer to ship an item back. The authorization should include the order reference, SKU, return reason, expected condition, required accessories, return shipping responsibility, and whether inspection is required before refund.

Items received without authorization may still be inspected, but refunds should not be promised until the sale and item condition are verified. High-value items above 500 EUR, electronics, regulated items, personalized items, and business-to-business returns always require authorization before return shipment.

Return authorizations expire after 14 calendar days unless customer service extends the authorization due to carrier delay, customer travel, delayed pickup, or documented service issue.

Product Condition Rules

Returned products must be classified into one of five condition states: unopened, opened-good, damaged, defective, or unsellable. The condition state determines whether the item can be returned to sellable inventory, sent for inspection, written off, or routed to supplier recovery.

Unopened products with intact packaging, labels, accessories, and serial numbers can usually be returned to sellable inventory after a basic visual inspection. Opened-good products can be accepted for refund if all required accessories are present and the product passes inspection. Opened-good items should not be returned directly to primary sellable inventory until warehouse staff confirm packaging quality and completeness.

Damaged products include items with visible dents, cracked parts, water exposure, torn packaging that affects resale, missing components, or signs of improper use. Damaged products should be accepted only when the customer reports damage on arrival or when the damage is plausibly linked to fulfillment, shipping, or handling. If customer misuse is likely, the return may be declined or converted to partial store credit with manager approval.

Defective products are items that fail normal use despite no obvious customer misuse. Defective items should be accepted within the return window and may also qualify under warranty terms after the return window. Defective products must be tagged for quality review and should not be placed into sellable inventory.

Unsellable products include items with contamination, safety risk, missing serial identification, severe damage, altered labels, or evidence of tampering. Unsellable products should be quarantined and routed to disposal, supplier claim, or loss reporting depending on category.

Refund Methods

Refunds should normally be issued to the original payment method. Store credit may be used when the original payment method is unavailable, when a customer lacks proof of purchase but the sale can be reasonably verified, or when a partial goodwill return is approved. Cash refunds are not allowed for online orders and require manager approval for retail transactions.

Shipping fees are refundable only when the return reason is defective item, damaged on arrival, incorrect item shipped, duplicate shipment, or fulfillment error. Shipping fees are not refundable for buyer remorse, wrong size selected by customer, duplicate purchase by customer, or late preference changes.

Refunds should be processed after the returned item is received and inspected. For low-risk customers with strong order history, customer service may approve advance refund for low-value items below 25 EUR. Advance refunds above 25 EUR require team lead approval.

Refund processing should normally be completed within five business days after inspection is complete. If inspection is delayed because the item is damaged, missing accessories, has serial number mismatch, or requires quality review, customer service should provide an update instead of promising a refund date.

Marketplace orders should follow marketplace refund timing rules when those rules are stricter than this policy. If marketplace rules conflict with internal policy, customer service should escalate to the marketplace operations owner.

Exchange Rules

Exchanges are preferred when the customer wants the same product in a different size, color, or configuration and inventory is available. Customer service must check stock availability before promising an exchange. If the replacement SKU is below reorder point or has fewer than five units available in the fulfillment warehouse, the exchange should be offered only after confirming replenishment timing.

If a replacement product is more expensive, the customer must pay the difference before shipment. If the replacement product is cheaper, the difference should be refunded to the original payment method or issued as store credit when the original method is unavailable.

Defective-item exchanges should be prioritized over buyer-remorse exchanges. Incorrect-item exchanges caused by fulfillment errors should be expedited when inventory is available.

Cross-border exchanges should be reviewed for shipping cost, customs restrictions, and delivery time before approval. If replacement shipping is likely to exceed the product margin or expected customer value, customer service should compare refund, store credit, and local replacement alternatives.

Restocking Fees

Restocking fees are not applied to defective items, damaged-on-arrival items, incorrect shipments, duplicate shipments, or customer service errors. A restocking fee may be applied to large business-to-business orders, special-order items, opened electronics, or high-value items returned for buyer remorse.

The standard restocking fee is 10 percent of the item price. Team leads may waive the fee for high-value customer relationships, first-time customer experience recovery, or documented website/catalog errors.

Restocking fee decisions must be included in the return note. The note should state the reason, fee percentage, and approver when approval was required.

Category Exceptions

Perishable, hygiene-sensitive, personalized, custom-configured, clearance-final-sale, and regulated products may have stricter return rules. These products should be marked in product metadata or category policy references.

Personalized products cannot be returned for buyer remorse unless the product arrived defective, damaged, or materially different from the approved order specification. Clearance-final-sale products cannot be returned unless legally required or the product is defective. Regulated items must follow the handling and disposal procedure for their category and should never be returned to sellable inventory without compliance review.

Electronics may be returned within the standard window, but opened electronics require serial number validation. Missing serial numbers, mismatched serial numbers, altered labels, or reset-lock issues should be escalated to fraud review.

Fraud and Abuse Signals

Customer service should escalate returns that show unusual patterns. Warning signs include repeated high-value returns, frequent claims of missing items, mismatched serial numbers, returns from multiple accounts at the same address, repeated damaged-on-arrival claims without carrier evidence, and returns that arrive with unrelated items.

Escalation does not automatically mean the return is declined. It means the team must verify the sale, inspect the item, review prior return history, and document the decision. When fraud risk is high, refunds should not be issued until inspection is complete.

Inventory Handling After Return

Warehouse teams must update item status after inspection. Unopened and inspection-passed opened-good items may return to available inventory. Defective, damaged, and unsellable items must not be returned to available inventory. They should move to quarantine, supplier-claim, repair, refurbishment, or write-off status.

If a returned item causes the available stock count to rise above reorder point, purchasing should not automatically cancel open replenishment orders. The purchasing team should compare return quality, sellable quantity, sales velocity, and supplier lead time before canceling or reducing replenishment.

When returns spike for a product, operations should review product quality, packaging, fulfillment accuracy, carrier performance, and customer expectations. A return rate above 8 percent for a product over a 30-day period should trigger a quality review when at least 20 units were sold.

Documentation Requirements

Every accepted return must include the original sale reference when available, return reason, item condition, refund method, inventory disposition, and staff note. If a return is declined, the note must include the exact rule used to decline it.

For defective or damaged products, staff should attach photos or inspection notes when the system supports attachments. For supplier claims, the warehouse must preserve packaging and serial information until the claim is submitted.

Return notes should distinguish customer-stated reason from inspection-confirmed reason. For example, a customer may report defective, while inspection may confirm missing accessory, damaged packaging, or no fault found. Analytics should use confirmed inspection reason when available.

Manager Approval Required

Manager approval is required for returns outside the standard window, refunds above 500 EUR, cash refunds, restocking fee waivers above 50 EUR, fraud-risk exceptions, missing proof of purchase, and any return involving regulated products.

Approvals must be documented. A verbal approval is not enough for audit purposes.

Consumer Law Baseline

This policy sits on top of statutory consumer rights and never below them. Within the European Union, consumers buying at a distance have a statutory right to withdraw from the purchase within 14 days without giving a reason, and a separate right to a remedy where goods are not as described or not of satisfactory quality.

The company's 30-day return window is longer than the statutory withdrawal period and is offered voluntarily. Where a customer's statutory rights would give a better outcome than this policy, the statutory position applies. Staff must never present a company policy limit as a legal limit.

Rights relating to faulty goods are not restricted to the return window. A product that fails prematurely may give rise to a remedy well after 30 days, and such cases are handled as warranty matters rather than refused as out of window.

Marketplace Orders

Orders placed through third-party marketplaces are subject to the platform's own returns rules as well as this policy. Where the platform grants the customer more than this policy, the platform position applies.

Refunds for marketplace orders are processed through the platform, never directly to the customer, because a direct refund leaves the platform record unresolved and frequently results in the customer being refunded twice.

Marketplace return rates run materially higher than the company's own channels. That difference is expected and is not treated as a quality signal unless it diverges by product rather than by channel.

Business-to-Business Returns

Business customers do not have consumer withdrawal rights. Returns are governed by the terms of the account agreement.

Standard positions unless the agreement says otherwise:

- Faulty goods are accepted for return or replacement without restriction
- Correctly supplied goods ordered in error may be returned within 14 days,

unopened and in original packaging, subject to a restocking fee

- Special-order or configured items are not returnable
- Returns above 5,000 EUR require account manager approval before collection

Business returns are collected rather than shipped by the customer, and collection is arranged by Logistics.

Fraud and Abuse Indicators

The following patterns are reviewed rather than acted on individually. None is proof of anything on its own.

- Returns on a high proportion of orders over a sustained period
- Returned items that do not match what was dispatched, by serial or by weight
- Repeated claims of non-delivery to the same address
- Multiple accounts sharing a delivery address or payment instrument
- Returns consistently claimed as defective without evidence of a defect
- High-value returns immediately after a promotional period

A customer under review retains all rights under this policy. Reviews are conducted by the fraud function, never by the agent handling the case, and the customer is not informed that a review is open.

Where abuse is confirmed, the response is proportionate: restrictions on future returns, a requirement for evidence, or account closure with notice. Refusing a legitimate return is not an acceptable response to a suspicion.

Refund Timing

Method	Time to reach the customer
Original card	3 to 5 business days after processing
Bank transfer	2 to 3 business days after processing
Store credit	Immediate

Method	Time to reach the customer
Marketplace	Per platform, typically 2 to 7 days

Processing begins when the returned item is received and inspected, or immediately where the return has been waived. Customers are told both the processing trigger and the expected duration, because the most common refund complaint is not the amount but the uncertainty.

Where a refund exceeds these timescales, the delay is investigated rather than attributed to the payment provider without checking.

Worked Examples

Item bought 20 days ago, opened, unwanted. Inside the window, opened but resellable. Refund in full to the original method. Return shipping is at the customer's cost because the reason is change of mind.

Item bought 40 days ago, stopped working after 35 days. Outside the return window, but this is a fault rather than a change of mind. Handled under warranty with repair, replacement, or refund, and return shipping is at the company's cost.

Wrong item dispatched, customer wants the correct one urgently. Company error. Dispatch the correct item immediately without waiting for the wrong one back, arrange collection with a prepaid label, and cover any cost the customer incurred. The return window does not apply to company errors.

Customer requests a refund on a promotional bundle, returning one item. Refund the bundle price less the retained item's standalone value, not the headline price of the returned item, and explain the calculation before processing it.

Document Control

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